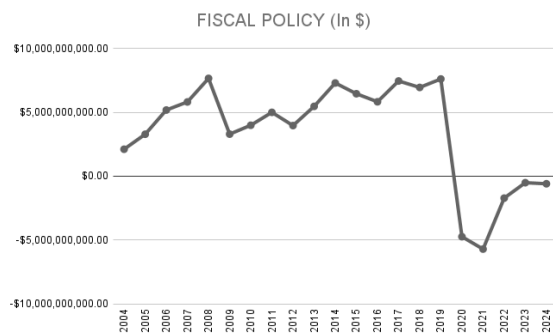
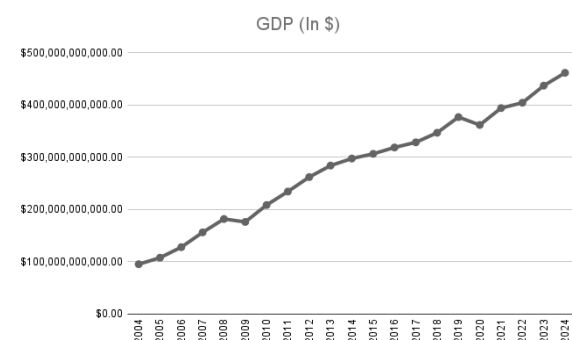
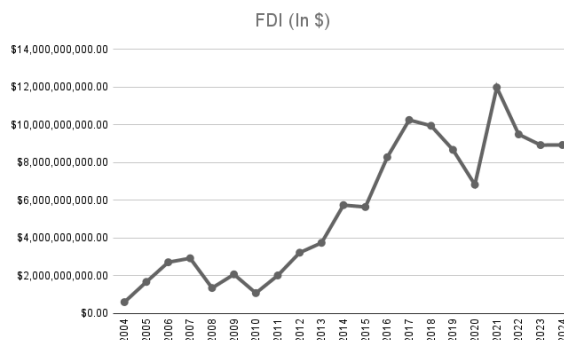
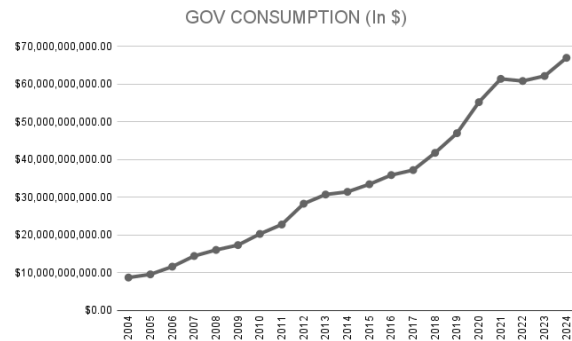


Description of Level Data



Tax is the government's primary source of income. Many of the government's initiatives and projects are funded by tax money. Therefore, the government ensures

that they plan and execute an efficient and strict tax collection system as they collect various taxes from different sectors, institutions, and individuals. There are many types of taxes which the government generates its income, these taxes are capital gains tax, corporate tax, value-added tax, income tax, to name a few. The government's myriad of tax policies and growing tax rate has been the driving force behind why tax allocation grew on a yearly basis. In President Gloria Macapagal Arroyo's time, she enacted the E-VAT or expanded value tax. This tax policy was signed into law as Republic Act 9337. This tax policy taxed select professional services. And in February of 2006, the tax rate was increased from 10% to 12%. During Benigno Aquino's administration, the SIN tax reform was implemented. SIN tax is the adjustment of the excise tax on liquor and cigarettes. This reform in SIN tax was done primarily to fund the universal health care program in PhilHealth and to also discourage Filipinos from developing debilitating vices. In Rodrigo Duterte's reign as the president of the Philippines, he imposed the Republic Act no. 109631 or The Tax Reform for Acceleration and Inclusion (TRAIN). This resulted in added tax rates in personal income taxation, passive income for both individuals and corporations, estate tax, donor's tax, value-added tax, excise tax, documentary stamp tax, and tax administration. The tax policy added a boost of 578.8 billion pesos of tax revenue from 2018 to 2021 in our country, which the administration promised to be used in the Build Build Build project. In current times, Ferdinand Marcos Jr. trimmed corporate income taxes and provided fiscal incentives with hopes of encouraging investments. Aside from this, the Marcos administration has imposed a 12% tax rate on foreign digital services. The continuous reformation of tax policies and tax rate has allowed the government to grow its yearly tax revenue. Each administration

has taken the same pattern as the other, which is to heighten the tax rate to cope with the growing expense towards development and universal services. Although the quality of these projects and services is a subject of debate.

Government Consumption refers to the spending from the government side to achieve specific objectives, such as developing and providing public goods. It is an example of an expansionary fiscal policy formulated to increase aggregate demand. When tax money is collected, the public expects the government to spend this money wisely. This sentiment is valid because throughout the years, government spending has exponentially grown. In fact, in the years from 1998 to 2010, government expenditure grew annually at an average rate of 2.5 percent. In Gloria Macapagal Arroyo's administration, the administration's spending was characterized by underspending. In fact, in 2006, the Arroyo administration had an underspending of 68.4 billion pesos. Most of this under-spending was done at the cost of education, healthcare, and social welfare. Arroyo did this to make the budget deficit numbers look good and to keep her promise of managing and balancing it. But this doesn't mean the government spends less. In her 2007 SONA, Arroyo proposes a fiscal discipline by investing billions in human and physical infrastructure. But Arroyo's primary concern was to manage the budget deficit of the government; this was due to the onslaught of the 2008 financial crisis and a growing debt. During the administration of Benigno III administration there has been a steady increase in the national budget. In 2011 the budget was at 1.645 trillion pesos in 2014 then it grew to 2.268 trillion in 2014. Government consumption grew as the administration at this time was focused on paying debt and expanding the

national defense of the country. Public spending on infrastructure grew at 75 billion in the first four months of 2013 and during his administration there was 44.8% increase in infrastructure spending. The Aquino administration steadily increased their budget and spending and during his last term, Aquino signed the record breaking budget of 3 trillion pesos. The 2016 budget at that time was the biggest budget to date. Budget secretary Florencio Abad said that most of the budget will be allocated to social services. The social service allocation includes an increased budget in health and education. The entire Aquino administration was focused on steady growth on all sectors while also managing debt and deficit. Duterte's populist presidency and administration set their government plans into making the Philippines a middle-income country by 2022 while also reducing poverty by 14%. Duterte's government consumption came from his vision of building more and more infrastructure through the Build Build Build projects. Also, his landmark universal healthcare law of 2019 contributed to the ever growing government spending. Amendments like the *pantawid pamilyang pilipino program* (4PS), and a basic unemployment insurance scheme set in place under Duterte's administration. While on the surface all is well in the Duterte's administration the government much like Arroyo's time has stagnated in increasing the budget towards social welfare. A 30 billion budget decrease in education budget and stagnating funding in social welfare government agencies such as DSWD and DOH was prevalent in the majority of his presidency from 2017 to 2020. And during the COVID-19 pandemic the government's spending all went into financial assistance and vaccine acquisitions. In fact in 2021 there is a surge in government spending. This is all due to the growing demand for government support in the midst of a financially debilitating pandemic. From the ashes of the COVID-19

pandemic came the controversial presidency of Marcos Jr. Ferdinand ‘Bong Bong’ Marcos Jr.’s government spending is marred by controversy and political limbo. The Philippines spending grew but the services have gotten worse. The Philippines is not known for having the best public service but during Marcos Jr. administration this poor service was magnified. In 2023 he signed a 5.768 trillion pesos for national budget; this budget has now become infamous for its corruption and myriad of unprogrammed insertions. The Department of Public Works and Highways emerged as one of the top agencies that received the biggest funding from the Marcos administration. But issues such as substandard flood control projects revealed the misuse of public funds. The government consumption grew but the public service became worse. The growing mistrust towards inefficient and corrupt government spending has developed into a civil unrest and demand for accountability and transparency.

Foreign direct investment has been a major source of economic advancement for the Philippines. In the past decades, FDI has been through dynamic shifts, brought by a historical period marked by varying inflows, such as the 1990s economic reforms, while recent positive changes show a diversification of sources with a focus on technology-driven sectors. Even though FDI increases GDP and jobs, attracts more investment through infrastructure developments, and promotes technological advancements, there are also concerns regarding unequal distribution of benefits, environmental concerns, and the regulatory framework, which underscore the need for a comprehensive yet balanced approach to ensure the positive impacts of FDI are maximized while also addressing potential challenges. Over the past 20 years, FDI in

the Philippines has increased greatly. However, in comparison with other ASEAN countries, the growth of FDI only appears to be moderate. There are several factors to be considered for the gap between the increase in FDI and the little improvement in overall domestic well-being. One of the reasons is its legal framework. The Philippines has historically embedded economic nationalism into its constitution and investment laws, which limit foreign ownership in land and key sectors and requires foreign investors to comply with local restrictions. Several years in the time series, 2005–2006, 2008–2011, 2014, and 2020 in particular, show noticeable decline. These downturns can be explained by a combination of global economic crises, weakness in the domestic structure, restrictive investment policies, and political uncertainty. In 2011, the Philippines experienced weak FDI inflows because foreign firms were cautious about expanding operations amid the aftermath of the 2008 financial crisis. At that time, many multinational companies reduced lending and equity commitment which led to lower FDI entries. This investor hesitancy was compounded by the country's limited capacity to attract manufacturing and export-oriented FDI compared to its neighbor states like Vietnam and Indonesia. According to Steinock, the Philippines suffered from decades of missed FDI opportunities due to restrictive constitutional ownership rules, insufficient infrastructure, and inconsistent policy enforcement. These include limits on foreign ownership of land and key industries and slow-moving infrastructure development, which contributed to the weakened investor confidence. The heavy dip around 2020 can be attributed to the COVID-19 pandemic which had disrupted global productions and expansion plans worldwide. International companies froze their expenditures, suspended new projects, and redirected resources towards stabilizing existing operations

rather than investing. The Philippines also faces challenges within its own economy at that time which further magnified the downturn. This aligns with Setinbock's insights, who notes that global shocks tend to hit the Philippines harder because its investment climate is structurally less resilient making it more vulnerable to the impact. Nevertheless, the country continues to recover and FDI has stabilized in the recent years due to reforms like CREATE Act and policy amendments. Recently, data from the Bangko Sentral ng Pilipinas (BSP) show that the Philippines posted a sharp decline in FDI as cautious foreign firms dramatically reduced lending to their local unit. It dropped to \$494 million in August 2025 from \$830 million recorded in the same month of the previous year. The drop was largely due to a 73.8% decline in net debt instruments, which fell from \$553 million to \$145 million year-on-year. This suggests that investors have turned cautious due to high interest rates, slower world trade, and geopolitical uncertainty. Despite this contraction, the BSP emphasized that FDI inflows remained positive, with high contributions coming from Japan and sectors such as manufacturing. For the first eight months of the year, net FDI inflows dropped from 22.5 % percent to \$5.2 billion from \$6.7 billion posted in the same period in 2024. Measured against the country's FDI target of \$10 billion for this year, the eight-month total now stands at 52%. Domestically, the Philippines is facing policy uncertainty and slower government spending, which may have caused the mentioned weakened investor confidence. FDI is expected to remain "modest but positive" for the rest of 2025, with a slight improvement in early 2026 as spending picks up and project pipelines become clearer.

Gross Domestic Product (GDP) is the total value of all products and services produced in a country. It is the simplest and most common way to gauge how well the

entire economy of the Philippines does in any year. GDP is influenced by an array of economic activities, including household consumption, government expenditure, investment, remittances, trade, and also global shocks. For 20 years, the Philippine economy continued to expand, although the magnitude and relative stability of that expansion varied according to each administration's policy preferences, fiscal stance, as well as its capacity to cope with crises. During the term of Gloria Macapagal Arroyo, it was reported to have the best average economic performance among those who completed their term before her, garnering an average annualized growth rate of 4.1%. Much of this is due to the growth of the Business Process Outsourcing (BPO) industry and Overseas Filipino Workers (OFW) remittances. The IT-BPO industry's total export revenue grew from \$1.3 billion in 2003 to \$8.9 billion in 2010. Similarly, the inflows from OFWs' remittances increase the foreign exchange supply available in the system to fund the economy's foreign currency requirements and spur consumption expenditures. This, in turn, creates demand and expands domestic production. With the OFWs' remittances ratio to GDP reaching 10.8% in 2009, have contributed to the economic growth. However, the 2008 is where the global financial crisis happened, which slowed down growth all over the world. In 2008, growth slowed to 0.7% in the third quarter and to 0.3% in the fourth quarter. As the global recession intensified, the Philippine economy contracted by 2.3 percent in the first quarter of 2009. Although it may have declined for a while, the GDP did not collapse; instead, the Philippines experienced a softer landing compared to other countries. Arroyo pushed for fiscal consolidation, improved revenue collection through VAT reforms, and investment-friendly policies to keep the GDP rising. After her term, the Philippine economy continued to soar until 2019. Under Benigno

Aquino III administration, GDP grew an average of 6.2%. This growth is explainable by his “Social Contract with the Filipino people”, a framework that aims to reduce poverty, inclusive growth, and job generation. With this, it increased the confidence of foreign investors and fiscal capacity. During Rodrigo Duterte’s presidency, the first two years saw GDP growth at an average rate of 6.6%. The growth was heavily investment-driven, such as investing in infrastructure through the ‘Build, Build, Build’ program. This program was launched in 2017, whose goal is to bring significant improvements in infrastructure growth in the country. However, COVID-19 happened, which explains the decline of the GDP during PRD’s term. From 6.0% in 2019, to -9.5% in 2020, which was recorded as the worst annual contraction in the Philippine economy. Still, it was able to recover until Duterte’s last term. After the COVID-19, the Philippine economic growth accelerated in the second quarter of 2021 to 11.8% from -17% in the same period last year, due to the administration's policy to allow both public and private construction even during the enhanced community quarantine, or ECQ, period last March and April 2021. With improved consumer confidence, growth in household spending turned positive at 7.2% as millions regained their jobs and sources of income in the first half of 2021. Imports and exports, on the other hand, increased by 37.8% and 27%, respectively, as foreign trade greatly recovered. But even with recovery, the pandemic left long-term scarring on small businesses and public finances. In the administration of Ferdinand Marcos Jr., the economy continues to grow with an average of 6.1%. The administration aims to have a 6% to 8% growth with the Philippine Development Plan (PDP), where the plan is to accelerate infrastructure investments, enhance the ease of doing business, and boosting national competitiveness. However,

the growing GDP is contradicting the concerns of many regarding the quality of the governance, increasing debt, and inefficiency of public services. Many Filipinos question if the growth really reflects meaningful improvements in one's daily life, even the GDP is high in nominal terms. Overall, from 2004 to 2024, the GDP of the Philippines indeed grew, but this growth was uneven, vulnerable to external shocks, and often shadowed by governance and structural challenges.

Fiscal Policy refers to the measures employed by a government to stabilize the economy, specifically through the manipulation of levels of allocations of taxes and government expenditures. The primary generator for revenue in the Philippine government is personal and income tax collection, however a minority of this revenue is collected through fees, licenses, and privatization proceeds, as well as income from other government operations and state-owned enterprises. The three biggest players in tax revenue are income tax, expanded value added tax (E-VAT), and tariffs and duties, which are imposed by the Bureau of Customs on all items imported into the Philippines. Meanwhile, non-tax revenue only makes up roughly less than 20% of total government revenue. Aside from these, the government makes use of other sources of financing to support its expenses. Some of these sources include: treasury bonds, facility loans, promissory notes and term deposits as domestic sources; and program and project loans, global bonds, and foreign currencies as external sources. The Arroyo administration inherited a poor fiscal position in which there was a weakening tax effort and rising debt servicing costs due to peso depreciation. After her election into full term in office, the national debt-to-GDP ratio hit a critical high of 79%, while dropping every

year to reach 57.5% by 2009 in her last full year in office. There was limited expansion of social programs as there was more focus given on macro stability. In the following period, the Global Financial Crisis was experienced worldwide, which likely pressured fiscal policy, and reforms in the tax administration started to gain steam. Though deficits remained, the rising tax effort allowed current spending to be sustained without excessive borrowing. Due to the aforementioned Sin Tax reform, excise tax on alcohol and tobacco generated revenue for health and UHC, while the Aquino administration focused on reducing the debt-to-GDP ratio. The following major events that affected fiscal policy in this period were the constant revenue reform, digitalization and enforcement improvements in the Bureau of Internal Revenue. Infrastructure push under the Build Build Build program increased public investment, while government consumption remained significant. In the face of the pandemic, tax revenue + non-tax revenue efforts were leveraged to support a huge rise in consumption spending. This reflects a counter-cyclical fiscal response, with the government using its revenue base to spend on social safety nets and public health. The surge in consumption reflects strong fiscal activism. As the government steered towards recovery post-pandemic, spending was gradually normalized but still remained elevated. As of 2024, there is an increase in non-tax revenues through higher dividend contributions from government owned and controlled corporations (GOCCs).